

Acme Analytics Corp.

Q3 2024 Business Performance Review

Reporting Period: July 1 – September 30, 2024

1. Executive Summary

Acme Analytics Corp. delivered strong performance in Q3 2024, achieving total revenue of \$4.2M against a target of \$3.8M — a 10.5% beat. Net new customers grew 18% quarter-over-quarter, driven primarily by expansion in the Pacific Northwest and Southeast regions. Operating margin improved by 2.3 percentage points to 22.1%, reflecting continued efficiency gains in our cloud infrastructure and a reduction in customer acquisition costs.

Key risks identified this quarter include increasing competitive pressure in the SMB segment and elevated churn in the legacy on-premise product line. The leadership team has approved a strategic investment of \$600K in Q4 to accelerate migration of legacy customers to the cloud-native platform.

2. Revenue & Financial Highlights

2.1 Revenue by Product Line

The following table summarises revenue contribution by product line for Q3 2024 versus Q3 2023.

Product Line	Q3 2024 (\$K)	Q3 2023 (\$K)	YoY Growth
Cloud Analytics Pro	1,850	1,210	+52.9%
Data Pipeline Suite	980	870	+12.6%
Reporting Dashboard	740	680	+8.8%
Legacy On-Premise	390	620	-37.1%
Professional Services	240	195	+23.1%
Total	4,200	3,575	+17.5%

Table 1: Revenue by product line, Q3 2024 vs Q3 2023.

2.2 Cost Structure and Operating Margin

Total operating expenses in Q3 2024 were \$3.27M, up 12.1% year-over-year. The largest cost category remains engineering and R&D; at \$1.4M (43% of opex), followed by sales and marketing at \$920K (28%). Cloud infrastructure costs decreased by 8% quarter-over-quarter following the completion of our Kubernetes migration in June, saving approximately \$85K per quarter on an

annualised run rate of \$340K.

3. Regional Performance

We operate across four sales regions. The Pacific Northwest region continued to lead growth, largely driven by a cluster of Series B startups adopting Cloud Analytics Pro. The Midwest region underperformed against target by 9%, attributable to two large deal slippages into Q4.

Region	Revenue (\$K)	Target (\$K)	Attainment	New Customers
Pacific Northwest	1,120	980	114.3%	38
Northeast	980	900	108.9%	29
Southeast	860	820	104.9%	31
Midwest	730	800	91.3%	21
International	510	500	102.0%	14

Table 2: Regional revenue attainment, Q3 2024.

4. Customer Metrics

Total active customers at end of Q3 2024 stood at 612, up from 519 at end of Q2 2024. Gross revenue retention (GRR) remained healthy at 91.4%, while net revenue retention (NRR) reached 108.2%, indicating strong expansion revenue from the existing customer base.

Customer health scores are tracked weekly across three tiers: Enterprise (annual contract value > \$50K), Growth (\$10K–\$50K), and Starter (< \$10K). The Starter tier saw the highest churn of 7.2% in Q3, primarily from customers who had not completed onboarding within their first 30 days. A new automated onboarding sequence was launched in September and early indicators show a 40% improvement in time-to-first-value.

Tier	Customers (Start)	New	Churned	Customers (End)	Churn Rate
Enterprise	68	6	1	73	1.5%
Growth	184	22	8	198	4.3%
Starter	267	65	24	308	7.2%
Total	519	93	33	612	5.0% blended

Table 3: Customer movement by tier, Q3 2024.

5. Key Findings and Q4 Outlook

The three key findings from Q3 are: (1) Cloud Analytics Pro is now the primary growth engine, contributing 44% of total revenue with a 53% YoY growth rate; (2) Legacy On-Premise revenue continues to decline and is projected to reach near-zero by Q2 2025; (3) Expansion revenue from existing customers, as measured by NRR of 108.2%, offsets churn and represents the most capital-efficient growth channel.

For Q4 2024, the company targets \$4.6M in revenue (+9.5% QoQ). Key initiatives include the launch of Cloud Analytics Pro v3.0 with AI-assisted anomaly detection, completion of the legacy migration programme, and expansion into two new international markets — UK and Germany.

6. Risks and Mitigations

Competitive pressure in SMB: Two well-funded competitors launched lower-priced tiers targeting our Starter segment. Mitigation: accelerate feature parity review and consider a revised Starter pricing model in Q4.

Legacy product churn acceleration: End-of-life announcement may trigger unplanned churn if migration support is insufficient. Mitigation: dedicated migration squad of 3 engineers assigned through Q1 2025.

Deal slippage in Midwest: Two enterprise deals totalling \$420K slipped into Q4. Mitigation: executive sponsor engagement initiated; deals are in final contract review as of October 1.

